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Applied Optoelectronics Inc (AAOI): A High-Beta Bet on the AI Networking Upgrade Cycle



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What is AAOI

Applied Optoelectronics Inc (AAOI) is a high-speed optical networking company that makes transceivers and related optical components used inside data centers, cable broadband networks, telecom systems, and fiber-to-the-home deployments.

Wait, what does all of that mean, you ask? Okay, in plain English, AAOI sells the optical (i.e. related to light / photons) hardware that helps data move quickly between servers, switches, and networks.

While the company has been around since 1997, the reason investors are paying attention now is that AI data centers are rapidly moving from 100G/400G links to 800G and eventually 1.6T optical modules, and AAOI is trying to position itself as one of the suppliers riding that upgrade cycle.

The Real Bull Case - Demand for AAOI's Pluggables Looks Insane

The AAOI bull thesis is relatively simple: if hyperscale AI buildouts keep demanding faster optical links, and AAOI can actually ship meaningful volumes of 800G and 1.6T modules, the company's revenue base could look very different over the next few years. Let me explain.

The demand signal for AAOI's pluggable transceivers is almost absurd. Management is now talking about roughly \$471M of monthly data center transceiver revenue by mid-2027, and importantly, they clarified this is not just theoretical capacity. **It is based on orders in hand, minimum customer commitments, and equipment that the company expects to have fully qualified.** Even more interesting, management said actual capacity is higher than the \$471M/month figure, and actual customer

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demand is bigger than what they are committing to. Customers

apparently wanted that output by April, but AAOI is guiding to June/July because equipment installation, qualification, and materials all take time. **In other words, the limiting factor does not appear to be whether customers want 800G and 1.6T modules. The limiting factor is how fast AAOI can physically build, qualify, and ship them.**

This is why the setup feels so asymmetric if execution holds. The monthly revenue target increased from \$378M to \$471M versus the prior earnings call, which is nearly \$100M of additional monthly revenue being pulled into the model (can you imagine that?!). That is not normal incremental growth; that is a demand curve moving faster than the company can expand.

Further, the even bigger picture is that hyperscalers are racing to upgrade AI clusters from 400G to 800G and eventually 1.6T, while sovereign AI data centers and Tier 2 cloud players are also trying to secure capacity. Nvidia also tends to absorb the first wave of supply, which can create bottlenecks for everyone else, so it would not be surprising if customers are trying to lock up optical capacity far earlier than usual.

On top of that, FundAI has just reported that the number of NPOs used in Rubin Ultra has nearly doubled.

In this context, while everyone seems to be assuming ASP declines at scale, if 800G/1.6T transceivers become a real bottleneck next year, the opposite could happen: pricing holds better than expected, margins expand, and AAOI ends up with more demand than it can satisfy through mid-2027.

In the following sections I discuss (1) the risks to the thesis; (2) whether the other limbs of AAOI's business present further upside; and (3) how to think about valuation.

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